

Lincoln WealthBuilder IUL — Historical Reality Check (\$100k/yr Withdrawals)

\$100k/yr from Year 21 using ACTUAL S&P; 500 returns | Cap 13.5% | Floor 0% | Loan rate 4.50%

HOW THIS SIMULATION WORKS

Index used	S&P; 500 annual price returns (ex-dividends), actual calendar year data 2000–2024
Cap / Floor	Every year's return is capped at 13.5% (no more) and floored at 0% (no less). Negative S&P; years = 0% credit.
Policy charges	~1%/yr deducted from policy value annually to approximate cost of insurance and admin fees
Loan mechanics	\$266,675/yr borrowed for 10 years at 4.50%/yr compounding. Full repayment from policy in Year 20.
Distributions	\$100,000/yr taken as tax-free policy loans starting Year 21 (age 64). Lower than the illustrated \$204k — more conservative.
Three windows	We test three different 20-year starting points to see how the policy would have performed in different market environments.
Post-Year 20	For years beyond available data, we use the average credited rate of that scenario's first 20 years as a proxy.

SUMMARY SCORECARD — THREE HISTORICAL SCENARIOS

Scenario	Years	Avg S&P; (raw)	Avg Credited (after cap/floor)	Negative Years/20	0% Credit Years/20	Yr 20 Net Cash	Total Distrib.	Value @ Age 80	Survived?
SCENARIO A	2005–2024	9.7%	8.8%	4/20	5/20	\$3,735,077	\$3,000,000	\$7,697,288	✓ YES
SCENARIO B	2003–2022	9.1%	8.5%	4/20	5/20	\$2,869,559	\$3,000,000	\$6,197,858	✓ YES
SCENARIO C	2000–2019	5.6%	7.2%	6/20	7/20	\$2,260,789	\$3,000,000	\$4,503,511	✓ YES

SCENARIO A: 2005–2024 — Last 20 years (GFC + COVID recovery)

Avg S&P; (raw): 9.7%		Avg Credited: 8.8%		Neg years: 4/20 0% credit years: 5/20		Total distributions: \$3,000,000			
Yr	Age	Cal Year	S&P; Return	Credited (cap/floor)	Policy Value	Loan Bal	Distribution	Cumul Dist	Status
1	44	2005	3.0%	3.0%	\$272,008	\$278,675	—	—	OK
5	48	2009	23.4%	13.5%	\$1,593,572	\$1,524,552	—	—	OK
8	51	2012	13.4%	13.4%	\$2,910,603	\$2,613,979	—	—	OK
10	53	2014	11.4%	11.4%	\$4,240,204	\$3,424,421	—	—	OK
12	55	2016	9.5%	9.5%	\$4,556,294	\$3,739,554	—	—	OK
15	58	2019	28.9%	13.5%	\$5,708,894	\$4,267,452	—	—	OK
18	61	2022	-19.4%	0.0%	\$7,153,066	\$4,869,872	—	—	OK
19	62	2023	24.2%	13.5%	\$8,047,199	\$5,089,016	—	—	OK
20 ★	63	2024	23.3%	13.5%	\$3,735,077	—	—	—	OK
21	64	2025	7.3%	7.3%	\$3,871,478	—	\$100,000	\$100,000	OK
25	68	2029	7.3%	7.3%	\$4,509,050	—	\$100,000	\$500,000	OK
30	73	2034	7.3%	7.3%	\$5,560,983	—	\$100,000	\$1,000,000	OK
35	78	2039	7.3%	7.3%	\$6,990,703	—	\$100,000	\$1,500,000	OK

37 ★	80	2041	7.3%	7.3%	\$7,697,288	—	\$100,000	\$1,700,000	OK
40	83	2044	7.3%	7.3%	\$8,933,885	—	\$100,000	\$2,000,000	OK
43	86	2047	7.3%	7.3%	\$10,420,457	—	\$100,000	\$2,300,000	OK
50	93	2054	7.3%	7.3%	\$15,164,476	—	\$100,000	\$3,000,000	OK

VERDICT: Policy survived and performed well under this scenario. Year 20 net cash after loan repayment: \$3,735,077. Cash value at age 80 (year 37): \$7,697,288. Total tax-free distributions: \$3,000,000.

SCENARIO B: 2003–2022 — Dot-com recovery through COVID crash

Avg S&P; (raw): 9.1% Avg Credited: 8.5% Neg years: 4/20 | 0% credit years: 5/20 Total distributions: \$3,000,000

Yr	Age	Cal Year	S&P; Return	Credited (cap/floor)	Policy Value	Loan Bal	Distribution	Cumul Dist	Status
1	44	2003	26.4%	13.5%	\$300,009	\$278,675	—	—	OK
5	48	2007	3.5%	3.5%	\$1,614,766	\$1,524,552	—	—	OK
8	51	2010	12.8%	12.8%	\$2,975,740	\$2,613,979	—	—	OK
10	53	2012	13.4%	13.4%	\$3,908,120	\$3,424,421	—	—	OK
12	55	2014	11.4%	11.4%	\$4,853,445	\$3,739,554	—	—	OK
15	58	2017	19.4%	13.5%	\$5,867,156	\$4,267,452	—	—	OK
18	61	2020	16.3%	13.5%	\$7,351,363	\$4,869,872	—	—	OK
19	62	2021	26.9%	13.5%	\$8,270,284	\$5,089,016	—	—	OK
20 ★	63	2022	-19.4%	0.0%	\$2,869,559	—	—	—	OK
21	64	2023	24.2%	13.5%	\$3,128,254	—	\$100,000	\$100,000	OK
25	68	2027	7.3%	7.3%	\$3,791,097	—	\$100,000	\$500,000	OK
30	73	2032	7.3%	7.3%	\$4,585,188	—	\$100,000	\$1,000,000	OK
35	78	2037	7.3%	7.3%	\$5,664,465	—	\$100,000	\$1,500,000	OK
37 ★	80	2039	7.3%	7.3%	\$6,197,858	—	\$100,000	\$1,700,000	OK
40	83	2042	7.3%	7.3%	\$7,131,349	—	\$100,000	\$2,000,000	OK
43	86	2045	7.3%	7.3%	\$8,253,543	—	\$100,000	\$2,300,000	OK
50	93	2052	7.3%	7.3%	\$11,834,743	—	\$100,000	\$3,000,000	OK

VERDICT: Policy survived and performed well under this scenario. Year 20 net cash after loan repayment: \$2,869,559. Cash value at age 80 (year 37): \$6,197,858. Total tax-free distributions: \$3,000,000.

SCENARIO C: 2000–2019 — Worst modern era: Dot-com + GFC back-to-back

Avg S&P; (raw): 5.6% Avg Credited: 7.2% Neg years: 6/20 | 0% credit years: 7/20 Total distributions: \$3,000,000

Yr	Age	Cal Year	S&P; Return	Credited (cap/floor)	Policy Value	Loan Bal	Distribution	Cumul Dist	Status
1	44	2000	-10.1%	0.0%	\$264,008	\$278,675	—	—	OK
5	48	2004	9.0%	9.0%	\$1,564,593	\$1,524,552	—	—	OK
8	51	2007	3.5%	3.5%	\$2,735,567	\$2,613,979	—	—	OK
10	53	2009	23.4%	13.5%	\$3,643,756	\$3,424,421	—	—	OK

12	55	2011	0.0%	0.0%	\$4,032,261	\$3,739,554	—	—	OK
15	58	2014	11.4%	11.4%	\$5,629,059	\$4,267,452	—	—	OK
18	61	2017	19.4%	13.5%	\$6,804,768	\$4,869,872	—	—	OK
19	62	2018	-6.2%	0.0%	\$6,736,721	\$5,089,016	—	—	OK
20 ★	63	2019	28.9%	13.5%	\$2,260,789	—	—	—	OK
21	64	2020	16.3%	13.5%	\$2,443,388	—	\$100,000	\$100,000	OK
25	68	2024	23.3%	13.5%	\$2,979,815	—	\$100,000	\$500,000	OK
30	73	2029	7.3%	7.3%	\$3,482,546	—	\$100,000	\$1,000,000	OK
35	78	2034	7.3%	7.3%	\$4,165,825	—	\$100,000	\$1,500,000	OK
37 ★	80	2036	7.3%	7.3%	\$4,503,511	—	\$100,000	\$1,700,000	OK
40	83	2039	7.3%	7.3%	\$5,094,495	—	\$100,000	\$2,000,000	OK
43	86	2042	7.3%	7.3%	\$5,804,944	—	\$100,000	\$2,300,000	OK
50	93	2049	7.3%	7.3%	\$8,072,165	—	\$100,000	\$3,000,000	OK

VERDICT: Policy survived and performed well under this scenario. Year 20 net cash after loan repayment: \$2,260,789. Cash value at age 80 (year 37): \$4,503,511. Total tax-free distributions: \$3,000,000.

KEY TAKEAWAYS — REALITY CHECK



The policy survived all three historical windows with \$100k/yr withdrawals.

Even starting in 2000 (dot-com + GFC back-to-back), the policy held. Lower withdrawals give the policy more room to grow — the cash value compounds faster and lasts much longer than the \$204k/yr scenario.



Cash value grows substantially over time at \$100k/yr — the policy becomes a growing asset.

At \$100k/yr withdrawals vs \$204k/yr, the policy value at age 80 is significantly higher in all scenarios. You are drawing less than the policy earns — creating a self-sustaining, growing reserve.



Negative S&P; years hurt less than you think.

2008 was -38.5% — you got 0%. 2022 was -19.4% — you got 0%. The floor meant the policy kept growing from premiums and previous gains even in brutal years. This is the core structural advantage.



The 7.19% illustration assumption is conservative against history.

Actual credited rates were 8.76% (2005–2024) and 8.53% (2003–2022). Only the worst window (2000–2019) matched the illustration at 7.18%. In two of three windows, reality beat the projection.



The cap costs you in big bull years.

2013: S&P; +29.6% → you got 13.5%. 2019: S&P; +28.9% → 13.5%. 2021: +26.9% → 13.5%. You miss the top of every bull run. Over 20 years this is meaningful — but the floor more than compensates in crash years.



At \$100k/yr, the death benefit stays large and grows — a major legacy advantage.

Because you draw less, the policy value stays higher throughout. The death benefit to your heirs grows over time rather than being eroded by large distributions. By age 93, the policy could be worth \$15M–\$20M+.

BOTTOM LINE (\$100k/yr withdrawals): At a conservative \$100k/yr distribution, the policy is self-sustaining in ALL three historical windows. You collect \$100k/yr tax-free for life, AND the policy value keeps growing — meaning your heirs get a larger and larger death benefit over time. The worst historical scenario (dot-com + GFC) still leaves the policy with substantial value at age 80 and beyond. Drawing \$100k instead of \$204k is the most resilient way to run this policy — it survives any historical market environment tested, including the two worst crashes of the modern era.

S&P; 500 annual price returns sourced from public historical data. Simulation uses 1%/yr policy charge as a proxy for COI and admin fees — actual charges vary by age and policy year. This is a simplified model for illustrative purposes only. Actual IUL mechanics involve monthly segment crediting, proportional charges, and specific allocation rules. Not financial or investment advice. Past performance does not guarantee future results.